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Intro to Commerce

Commerce refers to the exchange of goods & services from producers to final consumers. It involves buying & selling items of economic value such as goods, services, information, or money between different parties.

Commerce is a broad concept, trade is more specific & refers to the actual exchange of particular goods or transactions.

It connects producers with consumers & ensures that products reach the right place, at the right time and in the right condition.

Commerce is both an economic and a social activity. Economically, it facilitates exchange & market efficiency. Socially, it connects societies, cultures, and nations through trade networks.

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Origin of Commerce:-

The word commerce comes from Latin word commercium

- Com = together, with
- merx / mercis = goods, merchandise, trade

=> Commercium literally meant "exchange of goods together" or "trading with one another"

Meaning,

In Simple terms:

"Commerce is the activity of buying, selling, and exchanging goods & services b/w individuals, businesses, or countries.

In academic language:

"Commerce includes all activities that help in the distribution of goods & services from producers to consumers.

It Covers:

- Trade
- Transportation
- Insurance
- Banking & finance
- Warehousing

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Definitions:-

1 Geoffrey Whitehead:-

"Commerce is the distribution and the exchange of all surplus goods produced in the fields, mines, seas, forests and factories of the earth so that they reach the final consumer in right condition at right time in the right quantity and the right place."

2 Noel Branton:-

"Commerce is concerned with a group of activities which directly and indirectly involved in distribution of goods between the place where they come from into existence & the person who finally uses them."

General Definition:-

Commerce is the activity of buying & selling goods & services ~~from~~ moving from producers to consumers.

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Nature of Commerce

1. Both Science & Art

Commerce education is a science because it teaches rules & principles of business in systematic way. It explains cause and effect relationships, like how price affects demand or how management decisions affect profit. It provides, principles, theories & logical understanding of business situations.

It is also an art because using this knowledge in real business life needs skill, practice, & good-decision making.

2. Both Academic & Vocational

It is an academic subject because it develops knowledge, thinking ability & understanding of business concepts.

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It is also vocational because it prepares students for jobs like banking, accounting, marketing, and management by giving practical training.

3. Both Knowledge & Skill-Based

Commerce education gives knowledge about business & economics.

At the same time, it develops skills like accounting, communication problem-solving and decision making, which are useful in real life.

4. Continuous Process:-

Commerce is not a one-time activity. It is carried out regularly & systematically.

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Functions of Commerce:

There are many functions of commerce which some are following.

~~1. Mass Production of Goods & Services:-~~

~~Commerce helps in buying & selling goods & services b/w cusumer & producers By this mass production increase.~~

~~2. Raising Capital:-~~

~~It helps businesses & individuals get money through banks & financial institutions~~

~~3. Creates Employment:-~~

~~It provides jobs in trade, banking, insurance, transport and other business fields~~

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4. Transportation:-

It moves goods from producers to consumers & stores them untill needed.

5. Warehousing facilities:

Commerce provides storage facilities to keep goods safe until they are needed.

6. Unity Among Nations:-

Trade makes countries depend on each other and promote cooperation.

7. Improvement in Standard of Living

Availability of different goods improves quality of life.

8. Risk Bearing:-

Insurance reduces business risks and encourages entrepreneurs

9. Exchange of Goods & Services

It makes buying and selling possible through transport & communication.

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Characteristics of Commerce

1. Economic Activity:

Commerce deals with buying and selling goods & services for money or value.

2. Profit Motivated:

Most commercial activities aim to earn profit.

3. Dynamic Nature:

It changes with technology globalization and market condition.

4. Support Economic Development

It promotes production, employment, and national income growth.

5. Continuous Process:

Commerce is carried out regularly, not as one-time activity.

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6. **Exchange Oriented:-**

It focuses on the exchange of goods & services b/w buyers & sellers.

7. **Coherence:-**

Commerce creates coordination b/w production, distribution & consumption so the whole system work smoothly.

8. **Marketing:-**

It involves promoting & selling goods & services to satisfy customer needs & increase sales.

9. **Utility:-**

Commerce makes goods useful by bringing them to the right place at the right time

10. **Innovation:-**

Commerce supports new ideas and better ways of doing business.

11. **Interdependence:-**

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Importance of Commerce

1. Poverty Reduction:

Due to commerce lot of people exit from poverty line because they finded job, work etc.

2. Fullfillment of Basic Needs (Food, Sheller, Clothing)

Commerce ensures that essential goods reach people in different areas It makes daily life possible.

Example: Rice produced in farms is supplied to city markets.

3. Circulation of Wealth:

Commerce moves money from one person to another through buying and selling. This keeps the economy active

Example: A customer pays a shopkeeper who then pays to suppliers & worker.

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(4) Implyment Opportunities:

It creates jobs in trade, transport, banking & insurance sectors. Many families depend on it for income.

Example:- Jobs in supermarkets & delivery services.

(5) Promote Economic Growth:

Increase Trade & business activities raise ~~inter~~national income. It strengthens the overall economy.

Example: Growth in exports increase GDP, per capita

(6) Improves Standards of living:-

Availability of various goods improves comfort & lifestyle. People enjoy better quality products

Example:-

Access to modern home appliances.

Income, health education

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⑦ Infrastructural development

Commerce encourages the development of roads, railways, communications, Rail links, Airport, bridges, ports, banks to support trade & business activities

Example:-

Construction of highways and ports to facilitate export & import trade.

⑧ Promote Peace:-

Trade creates mutual dependence b/w countries, reducing chances of conflicts. Economic ties encourage cooperation.

Example: Countries trading oil & machinery instead of fighting.

⑨ Wealth creation:

Commerce increases the Mines & Minerals process such as oil, Coal, Gas, Gold, Copper etc.

Fertile land + water → crop.

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(10) Promote Globalization:-

It connects markets across the world & allows international exchange. Goods & services move globally.

Example: Buying a smartphone made in another country.

(11) Promote Specialization:-

It connects markets across the world & allows to focus on what they produce best. This improves efficiency & productivity.

Example:- One country is specialized in textile production.

(12) National Integration:-

Commerce links different regions of a country through trade. It creates economy unity.

Example:

Goods produced in one province sold in another.

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Types of Commerce :-

Three main types of commerce

1. Internal Commerce
2. External Commerce
3. E-commerce

1. Internal Commerce :-

Known as domestic Trade

Buying & selling of goods & services within the geographical political boundaries of a single country

Internal Commerce is a backbone of a national economy

It takes place between local traders & consumer

Example

① Retail Trade ② Wholesale Trade

A shop in Lahore selling clothes made in Karachi.

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Characteristics of Int. Com

1. Local Economy:-

Internal commerce operates within the economy of one country & supports domestic markets.

Example:- Farmers selling wheat within Pakistan.

2. Uniform Laws:-

Trade follows the same national laws and government regulations.

Example: All businesses in Pak follow the same trade & tax laws.

3. Fewer Legal Restrictions:-

Internal trade has fewer formalities compared to Int. Trade.

Example: A shopkeeper can buy goods from whosaler without import permits.

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4. Single Economy:-

Transactions are made using one national currency

Example:- Buyers & sellers in Pakistan use the PKR

5. Logistic (Easy Transport):-

Goods can be transported easily within the country through local transport system

Example: Trucks carrying fruits from farm to city markets easily.

6. Direct Meeting:-

Buyers & sellers can meet directly & negotiate deals face to face

Example:

~~Buyer~~ A customer buying vegetables directly from a local market vendor.

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Advantages of Int. Commerce

1. Low Risk:

Businesses face fewer risks because there are no foreign exchange problems or complex or complex Int. laws

Example:- A trader selling goods within the country without worrying about currency exchange.

2. Easy & Convenient

Buying & selling within a country is simple because people share the same language, currency & laws

Example:-

A retailer in Lahore easily buys clothes from a wholesaler in Kirachi

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3. Support Local businesses:-

Internal commerce helps small & local businesses grow by providing a large domestic market.

Example:- Local farmers selling vegetables in city markets.

4. Create Employment

It generates jobs in retail shops, transport companies warehouses & banks.

Example: People working as shopkeeper delivery drivers & warehouse staff.

5. Better Distribution of Goods

Goods produced in one region can be supplied to other regions where they are needed.

Example: ~~A trade selling goods within~~ Rice produced in rural areas supplied to supermarket in big cities.

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2. External Commerce

Means the buying & selling of goods & services b/w different countries. It takes place when a country trades with other nations to obtain goods it cannot produce efficiency or to sell its surplus production.

Types of Ext Commerce:-

1. Import Trade:-

Buying goods or services from another country.

Example:- Pak imports oil from Saudi Arabia.

2. Export Trade:-

Selling goods or services ~~from~~ to another country

Example:-

Pakistan exporting rice to Middle Eastern countries

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3. Enterpot Trade:-
Importing goods from one country & re-exporting them to another country

Example:-
A country importing electronics & then exporting them to another market.

Characteristics of Ext. Commerce

1. Multiple Currencies:-
International trade involves different national currencies, so exchange rates become important.

Example:- A Pakistani exporter recieves payment in US dollars instead of Pakistani rupees.

2. High Regulation:-
External trade is regulated by international rules & agreements

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between countries & global institutions like WTO.

Example:- Countries must follow trade rules set by the WTO when exporting goods.

3. Extensive Documentation:

Int. commerce required many legal documents such as invoices, shipping papers and customs declarations.

Example: Exporters must prepare shipping documents before goods leave the country.

4. Special Logistics:

Goods are transported over long distances using ships, airplane, or international freight system.

Example:-

Containers of textiles shipped from Karachi port to Europe.

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Advantages:-

1. Resources Availability:-

Countries can obtain goods and raw materials that are not available locally

Example:-

Pakistan importing crude oil from Saudi Arabia

2. Economic Growth:-

International Trade increases production, investment & national income

Example:- Export of textiles increasing Pakistan's industrial output.

3. Risk Diversification:

Businesses reduce risk by selling products in different international markets.

Example:- A company exporting rice to several markets instead of one.

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4. Foreign Exchange Earning

Exports help a country earn foreign currency used for International payment.

Example: Pakistan earning US dollars by exporting sports goods.

5. Access to Advanced Technology:-

Countries can import modern machines & technology to improve production.

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3 E-Commerce

Means buying & selling goods or services through the Internet using website, mobile apps.

It allows businesses & customers to trade without meeting physically.

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Key Features:-

1. Online Transaction:-
e.g Purchasing books from Amazon

2. Global Market Access:
e.g A freelancer offering services on Fiverr.

3. 24/7 Availability:-
e.g customers can place orders at midnight

4. Fast Communication & Payment:
e.g:- Paying through digital wallets or online banking

Types of E-Commerce:-

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There are six main types of E-commerce which are following

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1. Business to Business (B2B)

Online transactions b/w one business to another business

Examples: A clothing retailer buying fabrics from a textile supplier through an online platform.

2. Business to Consumer (B2C)

Business sell products or services directly to customers online

Example:- Buying book from Daraz.

3. Consumer to Business (C2B)

Individual offer product to ~~a~~ businesses.

Example:- A freelancer selling website to a company.

4. Consumer to Consumer (C2C)

Individual to Individual

Example:

A person selling ~~on~~ a used phone on OLX

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5. Business to Government:-

Business provide goods or services to government institutions.

Example: A company supplying office equipment to government

6. Government to Citizen (G2C)

Government services are provided to citizen through online platforms

Examples:

Paying utility bills on a government website.

Characteristics of E-Commerce

1. Ubiquity:

E-commerce is available everywhere and at all times. The storefront is the user's screen (mobile or computer)

Example: A person order at midnight

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2. Personalization:-

E-commerce platform use user data and algorithms to show products according to the user's interests

Example:- If someone searches for shoes, the website keeps showing similar shoes.

3. Digital Payment:-

Payments are made electronically through credit cards, ATM cards, or digital wallets such as JazzCash & Easypaisa.

Example:- Paying online using a mobile wallet is instead of cash

4. Information Density:-

Customers can easily access detailed information like reviews, videos and FAQs about products

Example: Reading customer review before buying a mobile phone online.

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5. Fast Communication :-

Buyers and sellers communicate quickly through website, email, or chat systems.
Example: A customer asking product details through online chat.

Advantages of E-Commerce

1. Global Reach

Businesses can sell product to customers anywhere in the world through the internet
Example: A seller in Pakistan selling products to customers in other countries.

2. Reduced Overhead

Online businesses do not need physical shops or many employees, which reduces costs.
Example: An online store operating without paying shop rent.

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3. 24/7 Operation:-

E-commerce stores remain open all the time, allowing customers to shop anytime.

Example: Buying a product online late at night.

4. Direct to Consumer:-

Businesses can sell directly to customers without middlemen.

Example:- A clothing brand selling products directly through its website.

Scope of Commerce:-

Commerce mainly contains two elements: Trade & Aids to Trade

Trade: Trade is the total activity that ensures the exchange and distribution of goods & services to satisfy people's needs. It also include development of new markets & trade routes.

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Example: A company selling products to customers in different cities.

2. Aids to Trade:-

These are services that help trade run smoothly. They support the movement, storage and promotion of goods.

Main Aids to Trade:-

- **Transportation:** Moving goods from producers to consumers.
  Example: Trucks delivering products to market
- **Banking:-** Providing financial services & payments.
  Example:- Businesses receiving payments through bank
- **Warehousing:-** Storing goods until they are needed.
  Example: Storing wheat after harvest.

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- **Advertising**:- Informing customers about products.
Example: A company promoting a product on TV
- **Insurance**:- Protecting goods & businesses from risks.
Example: Insurance covering loss of goods during transport.
- **Communication**:- Connecting buyers & sellers quickly.
Example:- Businesses contacting customers through email.
- **Packaging**: Protecting goods & making them attractive for sale.
- **Shipping**:- Transporting goods through different methods:
    - Air: Fastest but expensive
    - Ships / Containers: Used for international Trade
    - Highways: Truck for road transport.
- Railways